

Evaluating Faculty Performance: A Systematically Designed and Assessed Approach

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ABSTRACT

The authors explain how the Department of Family Practice and Community Health (DFPCH) at the University of Minnesota School of Medicine has responded to the need to create for its faculty an evaluation system that provides information for both feedback and merit-pay decisions. The development process, begun in 1996, is described, and its present format detailed. Also presented are the results of a 1999 assessment of the system, which found high satisfaction among the faculty and the department head. In particular, this system has allowed the department head to have a more objective basis for making salary decisions, to increase his role as coach, and to commit more time to career correction and/or development. Other observed outcomes include an enhanced ability to track faculty productivity, increased clarity in organizational structure and goals, increased research pro-

ductivity, and early retirement of senior faculty receiving low evaluations.

The key components of the DFPCH system mirror recommended elements for the design of faculty evaluation systems offered by evaluation professionals. Specific elements that the DFPCH found critical to success were stable and supportive departmental and project leadership, supportive faculty, skilled staff, a willingness to weather resistance to change, tailoring of the system to the department's specific needs and culture, and a willingness to allow the process to evolve. A key question that the evaluation system has evoked at the DFPCH is whether "merit" equals "worth"; that is, does the collective meritorious work of faculty members effectively address program and departmental goals?

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A TOOL FOR INSTITUTIONAL LEADERS

Is there anything more important for the survival and quality of a medical school than the "care and feeding" of the faculty? Every dean and department head struggles with how to recruit and maintain vital faculty and how to fairly evaluate and recognize faculty, particularly in these times of diminishing resources. At the same time, the external constituents are clamoring for more accountability and evidence that faculty, the most expensive part of a medical school, are giving

them their money's worth. We wrote this article to help leaders develop a faculty evaluation system that addresses these multiple needs. In constructing this article, we kept four audiences in mind. First, if you are the dean of a medical school or head of an academic medical center, and our abstract has caught your attention, be sure to share this article with your associate dean for faculty affairs. If you are the associate dean for faculty affairs, we think you will find the text of this article informative and persuasive. If you agree, the information in sidebars was particularly designed for the third audience, the person charged with designing a faculty evaluation system at your institution or in specific departments. Finally, for researchers in the area, we offer the entire article.

This article has five parts:

- We begin the article with a brief overview of the demands for effective faculty evaluation.
- Next, we present a system—diagrammed in Figure 1—that meets these demands. The system includes faculty

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portfolios with goal statements and accomplishment reports, including evidence such as student ratings and patient billings; an elected/appointed faculty merit review committee that reviews portfolios against agreed-upon scales; committee reports of ratings and recommendations for each faculty member that go to the department head, the faculty member, and the person to whom he or she reports; year-end meetings with the department head, where ratings and recommendations are used for salary and personnel decisions; and an appeal process.

- Following this description we report the evaluation of this system by our department faculty and discuss its broader benefits.
- We then highlight the research on faculty evaluation, noting how this literature undergirded our design and the lessons or experience adds to this literature.

- Finally, we offer future directions for our system and ones similarly designed.

INTRODUCTION

Many medical school departments today are searching for ways to effectively and constructively evaluate the performances of their faculty members. In part, this focus can be traced back to the 1980s and 1990s, when higher education institutions were increasingly called upon to demonstrate accountability to their students and the public at large. Indeed, accountability was the watchword of the time, evidenced by increased assessment of not only faculty, but also students, academic programs, and institutions as a whole.^{1,2} This trend continues today, driven in part by technologic advancements that make the generation of data easier, and by the increas-

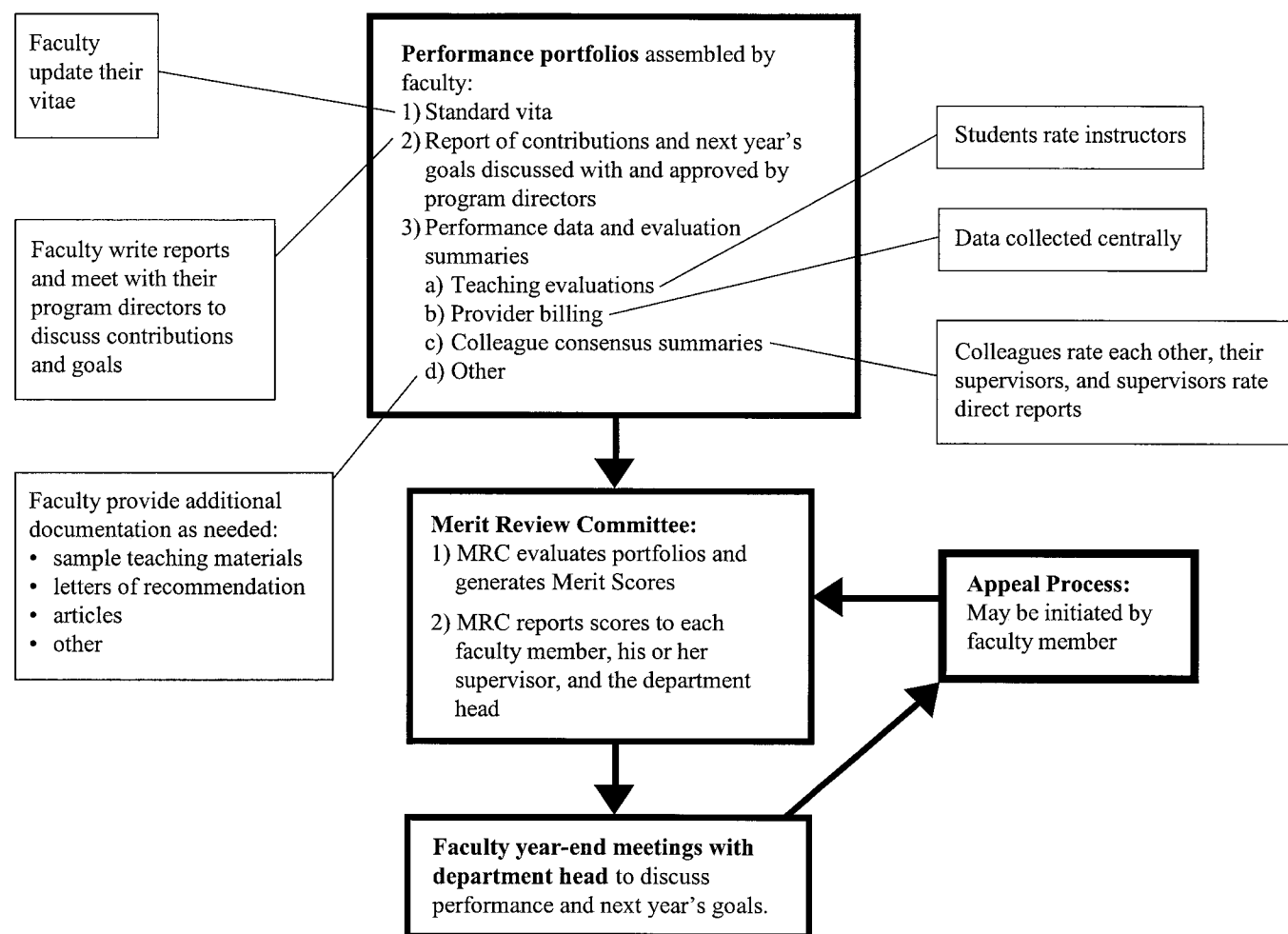


Figure 1. Diagram of the merit review system of the Department of Family Practice and Community Health, University of Minnesota.

ing complexity of the U.S. higher education system, which makes it seem all the more impenetrable to outsiders.^{2,3} As institutions must provide evidence of student progress and efficient operation, it is only natural that they would closely examine faculty performance and productivity, a key component (and a costly one) of the education process.

For state institutions in particular, the recessions and financial stresses of the 1970s and 1980s fueled an "age of assessment in higher education," with state governments urging schools to examine their effectiveness and efficiency through internal evaluation.⁴ More recently, some state governments have progressed from urging to requiring their state institutions to meet certain standards. The practice of performance funding has taken root, with state dollars allocated to education institutions in accordance with their demonstrated abilities to meet performance standards established by the state.⁵ The accountability movement and the increased pressure for efficiency have been felt particularly by medical schools as a host of additional external forces, such as the federal Balanced Budget Act of 1997 and the increased penetration of managed care, have changed and drastically decreased the revenues for most schools.⁶

Another rationale for developing faculty evaluation systems, including the system reported here, is to inform salary decisions. Such "merit-pay systems," although controversial, proliferate within higher education institutions.⁷ In addition to public accountability to constituencies (e.g., taxpayers, legislatures, and governing boards), the primary purposes of these systems are to enhance motivation and performance and to increase the accountability of faculty to the strategic goals of the institution or department.⁷⁻¹⁰

In this article, we describe the development and outcomes of a faculty evaluation system in the Department of Family Practice and Community Health (DFPCH) in the School of Medicine at the University of Minnesota. Our system addresses two of the above-described purposes of a merit-pay system: to enhance motivation and performance, and to increase the accountability of our faculty toward departmental goals. University policy also had an impact on our process: at our institution, all faculty salary increases must be based on merit, and the system for making salary decisions in a department must be approved by the affected faculty.

Our system was developed after an extensive review of the growing literature on the evaluation of medical school faculty, and after multiple discussions with our faculty and others experienced in faculty evaluation. A fit with our culture was important, since the successful application of any evaluation method will require that the method be suitable to the setting in which it is employed. Given that, a statement about our department's organizational structure and culture is needed to provide the reader with a backdrop for understanding the evaluation system described herein. In brief, our

department is comprised of 55 full-time faculty and 110 part-time faculty and six programs: medical education, community health, geriatrics, research, human sexuality, and residency training (at five sites). In addition to providing high-quality education and patient care, one of our departmental goals has been to increase our faculty's research productivity, a goal well aligned with the recently revised vision of our medical school and of the academic health center in which our school resides.

We acknowledge that—depending on the environments and cultures of their particular departments and larger institutions—readers are likely to find that certain parts of our evaluation system are appropriate to their settings, while others are less relevant. It is our hope, however, that above and beyond our description of the specific components of our system, our explanation of our development process will hold instructive and useful lessons for the reader. Indeed, finding our way to a system that fit our own context took time, a substantial investment of resources, and multiple proposals and refinements. Our faculty rejected two evaluation plans before accepting the third, which continues to be further developed and modified. Through our experience, we learned that the process used to develop the evaluation method is as important as the final design.

In the ensuing text, we first describe the development and components of our departments' merit review system and our evaluation outcomes, postponing our discussion of the literature on faculty evaluation systems until later in the article. Although this structure is a bit unconventional, we chose this format so that, in first describing our system and its impact, we can provide the reader with an essential context for our subsequent discussion of (1) how the literature influenced the design of our system and (2) how the lessons we learned from our experience further contribute to this knowledge base.

THE MERIT-REVIEW SYSTEM

Development

From the beginning, our department's merit-review system (MRS) was designed to achieve three things: (1) provide feedback to faculty members to help them continuously improve their career success, work quality, and productivity; (2) coordinate individuals' professional responsibilities to meet individual and departmental goals; and (3) provide a basis for salary and personnel decisions. All three goals have complementary and overlapping purposes. In the first goal, accountability to the department is balanced by attentiveness to the faculty member's career success. The second goal strives for a mutually beneficial match between an individual's aspirations and departmental and program goals. The

third goal is to provide a structured, equitable, and peer-reviewed basis for personnel and salary decisions. This was quite a change from our previous faculty review process, in which the department head had the daunting task of serving as the sole evaluator of all 55 faculty, and the faculty had little if any input into their colleagues' evaluations.

The process began with the department head's charging a subcommittee of five faculty, led by the vice chair of research and faculty affairs, to revise the faculty evaluation approach. A research staff member with a background in psychometrics also worked with the subcommittee. During the two years of development, three approaches for achieving the above-mentioned goals were outlined in detail and brought to the faculty for discussion at many departmental meetings and through individual conversations and e-mail messages.

The first proposal was a goal-based approach in which faculty members would prepare annual goals and be evaluated at the end of the year on goal accomplishment. The benefits of goal setting for achieving desired outcomes have been well documented, and handbooks regarding goal setting are plentiful.¹¹⁻¹⁴ Locke and Latham report that goal setting is "one of the most dependable and robust techniques in all the motivational literature."^{12,p.6} Our faculty, however, were apprehensive about being evaluated on goal accomplishment, citing several potential impediments to goal achievement (e.g., turbulent working environments caused by changes in staffing, location, and clinic or hospital affiliation; decreased revenues due to increases in managed care and decreases in federal support for medical education). These concerns persisted, even though our plan allowed faculty to modify their goals during the year, and even though there were assurances that faculty would be rewarded for even partial accomplishment of their goals.

The next proposal employed an approach that has gained some acceptance in medical education—a "relative values" approach.¹⁵⁻¹⁷ In the specific system we proposed, various work activities would be assigned weighted point values and faculty would accumulate points throughout the year, according to their tasks. This design was eventually rejected because of the perceived difficulty in both identifying all possible work tasks of a faculty member and reaching agreement among the faculty on the point values to be assigned to individual tasks.

The third approach, which eventually met with faculty approval, assigns faculty work into seven key areas of effort and provides specific criteria and performance standards for evaluating faculty performance in each area. These seven areas, and examples of the activities they encompass, are described in Table 1. For each area of effort, each faculty member is asked to gather supporting materials into a portfolio to document his or her performance, and also to outline goals in each area for the coming year. A peer-selected com-

mittee reviews and rates these merit portfolios, which are then passed on to the department head, who meets individually with each faculty member to provide feedback and establish final merit ratings for the distribution of rewards. These key components of our merit review system—and their linkages to one another—are described in more detail below and in Figure 1.

Components

Below, we list the main components of the MRS. The standard vita format, Report of Contributions and Next Year's Goals Form, rating scales, and other MRS documents discussed in this article may be examined in their entirety at our Web site, (<http://www.med.umn.edu/fp/gwweb.htm>).

Performance portfolio. At the end of the year, faculty members report the percentages of time spent in each area of effort and provide a portfolio of supporting documents as evidence of their work performances. Faculty are encouraged to submit whatever data or work examples best illustrate their achievements, but all portfolios contain the following three elements: (1) a standard vita, (2) a Report of Contributions and Next Year's Goals Form, and (3) performance data and evaluation summaries.

Standard vita. A standard curriculum vitae format was developed specifically for the MRS by the subcommittee. After a gradual period of adjustment to the new format, most faculty are now satisfied with the ease with which the vita can be updated and with which they can read other's vitae and quickly get a sense of each other's work and accomplishments.

Report of Contributions and Next Year's Goals Form. Like the standard vita, this document is also prepared by each faculty member in a standardized format. It summarizes one's achievements of the past year and outlines projected goals for the coming year for each area of effort in which a faculty member spends 5% or more of his or her time. (This excludes citizenship, which is evaluated uniquely, as described later.) The goal statements include both assigned tasks (e.g., basic job components) and new or extra goals and activities taken on by the faculty (e.g., anticipated improvements to or changes in the assigned tasks). The percentage of work time planned for each area is also indicated, as are explanations of how the assigned tasks and goals further the faculty members' career goals and the department's strategic plan.

The goal statements are finalized after discussions with one's supervisor, that is, his or her program director, with the understanding that goals may change during the year as circumstances dictate. These discussions help to assure not only that each faculty member's work is building toward his or her career goals (e.g., master teacher, world-class researcher, full professor, dean), but also that these individual goals match program and departmental goals.

Table 1

Seven Areas of Effort and Their Related Activities, Used for Evaluating Medical School Faculty	
Area of Faculty Effort	Related Activities
Education	Instructing residents, teaching regular university courses (e.g., medical school, graduate school), advising students, teaching or involvement with CME, working with other faculty on curricular decisions and new course development
Research and research-related activities	Conducting research, giving presentations, authoring publications, acquiring funding and grant support, securing copyrights and patents, editing, serving as peer reviewer
Patient care	Providing clinic-direct patient care (own patients), doing chart reviews, being on call
Institutional administration	Participating in or leading the governance of a program, the department, school, and/or university; planning programs; managing groups; managing personnel; recruiting faculty or staff
Professional outreach	Participating in professional academic associations or societies, engaging in community service activities, consulting in one's field
Self-development	Completing training activities such as updating knowledge in one's scholarly, teaching, or clinical area; completing CME training; earning advanced degrees; preparing for certification/recertification
Citizenship	Supporting the common goals of the institution, promoting and practicing good communication, demonstrating a willingness to work as a team member, exhibiting regular attendance and timeliness

Recall that our faculty rejected a goal-based system to determine merit scores; thus, goal accomplishment is not included in the score calculations. Still, because of the power of goal setting to motivate and guide behavior and the need to coordinate faculty work, we have made this process an integral part of our system. Including goal statements also provides a basis for the review committee to give feedback to each individual regarding progress toward his or her career goals. Further, it requires faculty members to be proactive in defining how they expect to spend their time in the coming year and to commit to these plans. Taken together, faculty goal statements also give our department a collective picture of the activities, likely outcomes, and time allocations of our faculty.

Performance data and evaluation summaries. Some performance documents are self-explanatory (e.g., resident or student evaluations of teaching skill, provider billing records confirming time spent in patient-care-related activities). The colleague consensus information, however, requires explanation. We use a Web-based program called Intelligent Consensus, developed by TEAMS International, to rate all faculty on citizenship—that is, those skills having to do with contributing to a collegial, team-focused work environment—and to rate those with supervisory responsibilities in the area of administrative leadership. This program allows us to develop rating instruments, gather feedback from multiple respondents, and generate reports for faculty completely electronically.

All faculty have the potential to be asked to use the Intelligent Consensus program to evaluate one or more of their peers in the area of citizenship, and/or to evaluate their su-

pervisors in the area of administrative leadership. In each case, the person being evaluated chooses a team of individuals who have observed his or her performance, preferably from multiple perspectives (i.e., peers, subordinates, and supervisor), to be the evaluators. In addition, that person's supervisor must approve the team and is empowered to add additional evaluators to the team if that seems necessary for a balanced and accurate view of the individual's performance. (For more on this colleague consensus approach, see Edwards and Ewen.¹⁸)

The merit review committee. A departmental merit review committee (MRC) is responsible for evaluating each faculty member's merit portfolio. The MRC has six members, four elected by the faculty and two appointed by the department head. Typically, individuals serve for a three-year term, although a second term is allowed. The vice chair for research and faculty affairs serves consistently as the chair of the MRC to assure continuity. She also serves as a peer reviewer when elected or appointed to the committee.

Each portfolio submitted to the MRC is assigned to two primary reviewers, who each spend about one hour before the meeting reviewing it. After evaluating the supporting materials, the reviewer provides a rating and comments for each area in which the faculty member is engaged at least 5% of the time. A standard ten-point rating scale has been developed for each area of effort, with specific criteria listed to define the various levels of accomplishment (i.e., what accomplishments merit an "2" rating, a "4" rating, a "6" rating, and so forth). The rating scale established for each area of work effort can be found at our Web site, (<http://www.med.umn.edu/fp/gwweb.htm>). Faculty performance is

Table 2

Example of Merit Ratings for an Individual Faculty Member Evaluated by the Merit-review System				
Area of Effort	% Time Given to Area*	Colleague Consensus Rating†	MRC Rating‡	Merit Rating§
Education	40	—	8	3.20
Research and research-related activities	5	—	9	0.45
Patient care	25	—	8	2.00
Institutional administration	25	7.27	8	2.00
Professional outreach	5	—	6	0.30
Self-development	0	—	—	—
Initial merit rating (excluding citizenship):				7.95
Citizenship	10	9.03	9	0.90
Final merit rating:				8.85

*Time allocations for the first six areas of effort total 100%. Citizenship is counted at a full 10% above and beyond the other areas, such that merit scores are calculated as if faculty were contributing 110% effort.

†The Colleague Consensus rating reflects the average Intelligent Consensus survey ratings for faculty in the areas of institutional administration and citizenship.

‡MRC ratings can range from 1 to 10, with 6 = meets expectations.

§Merit rating = % time × MRC rating for each area of effort.

rated in accordance with the established scales, not through comparison of one individual's performance with those of others. Thus, if all faculty are performing at a "10" level (the top of the scale), they would all receive a score of "10."

An example of merit ratings generated for an individual faculty member is displayed in Table 2. In addition to the numeric scores, such as those found in the example, a text summary section is attached to provide further feedback for each faculty member, summarizing the MRC's comments on the individual's performance, ranging from accolades to suggestions for improvement.

Later, at MRC meetings, each portfolio is presented by the primary reviewers and reviewed by the complete committee for about 30 minutes. Since consensus is required in assigning ratings, MRC meetings include much discussion and, at times, active, yet cordial, debate. After final ratings are determined for each area, an overall rating is computed by multiplying each area score by the percentage of effort for the area and summing these scores. In addition, our faculty elected to have citizenship count at a full 10% above and beyond one's 100% time allocation in the other six areas. Thus, merit scores are really calculated as if faculty were contributing 110% effort.

Faculty year-end meetings with the department head. When the MRC has completed its evaluation, the ratings and comments generated are sent to the department head, the individual faculty members involved, and their respective supervisors. Using the ratings and comments from the

MRC as a launching pad, each faculty member discusses his or her work and accomplishments at the year-end meeting with the department head. The complete merit portfolio is available at the meeting, and faculty may bring further supporting materials evidencing their work efforts. The department head also supplies his or her own ratings and comments for each faculty member. Together, they discuss the individual's career objectives and goals and the percentages of time allocated for the various areas of effort for the upcoming year. Rarely has the department head suggested different goals or percentages of time than previously agreed to by the supervisor.

Taking the MRC's ratings under advisement, incorporating his or her own judgment, and taking into account any additional information brought to the year-end meetings by faculty members, the department head establishes final merit ratings. (For the two years the system has been fully implemented, the department head has not felt the need to alter any rating provided by the MRC.) These final merit ratings are used to determine the distribution of faculty rewards such as salary raises, bonuses, travel funds, and other, non-monetary, types of recognition. Notably, in our system, we have moved toward the broad distribution of merit monies to all productive faculty who are meeting or exceeding expectations. Step-wise increments are employed to reward outstanding performance more generously. This is in keeping with the school of thought that organizations should reward their "solid citizens" (who often represent 60% of the organizational membership and handle the bulk of the work),

as well as the “star performers.” While “newcomers,” “deadwood,” and “stars” usually get attention in an organization, the “solid citizens,” who provide stability and continuity within the organization, are frequently overlooked.¹⁹ Our decision was in direct response to our faculty, who had asked to have rewards distributed broadly, not just to an elite few.

Appeal process. A faculty member who disagrees with the MRC’s ratings and/or comments is expected to discuss the issue with the department head at the year-end meeting. If, however, a faculty member believes that the MRC’s scores and comments are egregiously inaccurate—and can provide additional information likely to make a significant difference in the ratings—he or she may request that the MRC re-review the original and supplemental materials. The committee, with the addition of two faculty members at large (appointed by the department head), will then review the revised portfolio, collect other information as they see fit, and then either uphold the original ratings or generate a revised set of ratings and comments.

Merit-review schedule. Due to the comprehensive nature of our review system, the faculty voted to stagger their merit reviews, such that approximately half the faculty are reviewed in even years, and the other half in odd years. Only faculty who are on probationary tenure or hold clinical-scholar-track appointments are required to be reviewed annually. (“Clinical scholar” is a relatively new track within our medical school. It differs from tenure track in that although clinical scholar faculty are required to do some research, the specific criteria for promotion are less research-oriented. Also, promotion does not lead to tenure, but rather can lead to multiple-year contracts.) Faculty who are scheduled for review every other year retain their merit scores for two consecutive years. However, these faculty may choose to be reviewed during the intervening years and thereby update their merit standings annually.

EVALUATION OF THE SYSTEM

The MRS was pilot tested in the summer of 1998, with 15 faculty being evaluated on their 1997–98 academic year accomplishments and projecting their 1998–99 goals. The system was then evaluated by the pilot participants and revised, with one revision being that in the future we would use the calendar year, rather than the academic year, as the performance period for review. (This change was intended to remedy difficulties in allocating publications to a given year. Using academic years, a book published in 1998 could be credited to either 1997–98 or 1998–99, or erroneously to both.) Thus, when the MRS was fully implemented at the end of 1998, the 45 faculty participating in that review pro-

cess reported their accomplishments for the 1998 calendar year and projected their goals for calendar year 1999.

In the spring of 1999, following faculty members’ year-end meetings with the department head for calendar year 1998, the fully implemented MRS was evaluated via a survey of those faculty who had been part of the review process. Since that time, we have continued to gather evaluative information about the system through our observations. Findings from both the spring 1999 survey and our observations of the system for three cycles (calendar years 1998, 1999, and 2000) are described next.

Survey Results of MRS Process

The 25 items in the assessment survey queried faculty for their opinions about several key elements of the MRS process—the portfolio approach, the subparts of the portfolio (e.g., the standard vita, the colleague rating by Web-based survey), and the merit-review committee—as well as their overall satisfaction with the system (see Table 3). Faculty were asked whether they agreed, agreed with modification, disagreed, or had no opinion for each item. The response rate for the survey was 78%. Most faculty indicated that they agreed or agreed with modifications to most of the features of the MRS and reported that the system accomplished its intended goals. No more than 25% disagreed with any item. Although many faculty indicated that they agreed with modifications (as many as 65% for one item), few provided suggestions for improvement in the comment sections of the survey. To obtain more feedback on the desired modifications, focus-group sessions were held for all programs in the department.

The focus-group interviews revealed that most of the faculty members’ suggestions for change did not pertain to the system components themselves, but rather addressed ways in which faculty could better participate in the process (e.g., by providing more student summaries on teaching effectiveness, or including products that documented administrative performances in activities beyond leadership). Other, more system-centered suggestions focused on four areas: the performance portfolio, the Report of Contributions and Next Year’s Goals Form, the evaluation of administrative activities, and the feedback provided to the faculty by the MRC. Refinements were made in these areas prior to the next review cycle. For example, we streamlined the Report of Contributions and Next Year’s Goals Form and provided more specific instructions for items that a faculty member might wish to include in his or her portfolio. Two requested refinements have yet to be made but are being explored: including self-assessment ratings in the Intelligent Consensus information and allowing faculty to add their own unique items to the citizenship and leadership forms.

Table 3

Faculty Members' Assessments of the Merit-review System, University of Minnesota School of Medicine, 1999*				
	% Agree	% Agree with Modification	% Disagree	% No Opinion
Portfolio Approach				
The portfolio approach we utilize to report performance accurately reflects my accomplishments.	28.6	54.3	17.1	0
The standardized vita format is easy to use and update.	71.4	25.7	2.9	0
The Report of Contributions and Next Year's Goals Form is useful for reporting my contributions.	45.7	48.6	5.7	0
The Report of Contributions and Next Year's Goals Form is helpful in my year-end meeting with the person to whom I report.	60.0	31.4	5.7	2.9
Computerized Review Process and Behaviors Reviewed				
The computerized rating and comment forms were reasonably easy for colleagues to complete.	66.7	30.3	3.0	0
The format of the computerized colleague summary report is satisfactory.	55.9	32.4	11.8	0
The summary findings of my computerized colleague review are easy to interpret and understand.	70.6	23.5	5.9	0
The summary reports of my citizenship and administrative leadership (if applicable) represent me accurately.	32.4	44.1	23.5	0
It would help to gather self-ratings of performance in addition to ratings by supervisors and colleagues.	50.0*	26.5†	17.6†	5.9†
I prefer my citizenship and administrative leadership (if applicable) performance to be evaluated by a set of colleagues in addition to receiving feedback from the person to whom I report.	66.7	18.2	12.1	3
The behaviors evaluated in the citizenship report accurately reflect my efforts in citizenship.	41.9	41.9	9.7	6.5
(For those with administrative responsibilities) The behaviors evaluated in administrative leadership accurately reflect my efforts in that area.	25.0	65.0	5.0	5
The behaviors evaluated in administrative leadership are those on which I would like to provide feedback to leaders.	46.7	43.3	10.0	0
I would like to individually add items to the computerized surveys to more accurately reflect the behaviors I feel are important to success.	37.5†	18.8†	25.0†	18.8†
Peer Review Process				
The computerized colleague feedback summary and the report from the Merit Review Committee are helpful at my year-end meeting with the department head.	45.5	30.3	15.2	9.1
The computerized colleague feedback summary and the report from the Merit Review Committee are helpful at my year-end meeting with the person to whom I report.	42.4	27.3	21.2	9.1
Having the Merit Review Committee provide ratings and comments on my behaviors in the seven areas of effort addressed by our MRS is useful for me in improving my performance.	45.5	39.4	15.2	0
To have the MRC systematically provide ratings and comments on my behaviors in the designated areas of effort is valuable.	51.5	36.4	9.1	3
The format of the summary feedback from the MRC is satisfactory.	42.4	51.5	6.1	0
(Supervisors only) When making career suggestions and annual personnel decisions for faculty who report to me, I prefer having systematically collected feedback from a faculty member's colleagues, rather than only my own observations or informal information from others.	77.8	11.1	11.1	0
Overall Perceptions				
I am satisfied overall with the portfolio approach to providing year-end performance information.	48.5	39.4	12.2	0
I recommend continuing to use the portfolio approach to provide information for merit pay decisions.	45.5	30.3	21.2	3
I recommend continuing to use the portfolio approach as a means of acquiring feedback on faculty performance.	56.3	25.0	15.6	3.1
I am satisfied overall with the computerized data-collection process for gathering feedback from colleagues in areas of citizenship and administrative leadership.	39.4	39.4	21.2	0
It is worth the effort to have a peer-reviewed year-end process.	60.6	24.2	6.1	9.1
* Assessment made by 45 faculty members, a 78% response rate.				
† Unlike other items, in which agreement denotes satisfaction with the MRS, agreement with this item denotes a desired change in the system.				

Observed Outcomes

Improved review by department head. In addition to the MRS's being perceived by faculty as more valid and fair than past evaluation methods, the department head reports that the present system provides him with improved and more concise information for his year-end meetings with faculty members. Also, it means he is no longer the only "heavy," or conversely the only "celebrant," of faculty work, given that the MRC reviews each portfolio and provides feedback. This has allowed the department head to have a more objective basis for making salary decisions, to increase his role as coach, and to commit more time to career correction and/or development, which has been particularly important in recent years, when little money has been available for salary increases or bonuses.

Enhanced ability to track faculty productivity. Our review system carries the added benefit of allowing for the aggregate collection of data on our faculty's productivity. The use of the standard vita format, for example, allows the department to systematically track faculty publications, grants, presentations, etc., which is useful for describing the department in grant applications and departmental reviews. We also can calculate our department's collective commitment to each of the areas of faculty effort (education, research, patient care, administration, etc.) by adding up their allocations of percentage of time in these areas. This provides an accurate report of the true emphases/priorities of the department. Also, we are better able to identify those areas in which faculty as a whole are succeeding or are in need of support.

Changes in organizational structure. Changing one part of a department has an impact, sometimes unintended, on other parts. For example, the implementation of a new evaluation system has affected our organizational structure (who reports to whom; what roles and responsibilities accompany which positions). In like manner, our medical school's movement toward mission-based budgeting—which relies heavily on the tracking of information about the costs and effort expended under defined, mission-based categories—has influenced our choices in our evaluation system and our departmental and program goals. The link between this shift toward mission-based budgeting and the continued evolution of the MRS is described in more detail below under "Future Directions."

Relationship of focused effort to merit rating. After our second cycle of annual reviews, MRC members wondered whether faculty who concentrated the bulk of their work effort into three or at most four of the possible categories were performing at higher levels than were those who "spread themselves thin" by dividing their time into smaller parcels among five or even all six categories. It seemed reasonable to expect that the former group would fare better than the latter.

This expectation was supported by case studies of medical schools conducted in 1998 by Griner and Blumenthal, who noted that the pressures of high productivity demand that faculty members focus their efforts. Their work suggests that "the traditional 'triple threat'—the faculty member who was expected to be outstanding in research, teaching, and patient care—was [sic] a thing of the past."^{10,p.724} However, an examination of our faculty members' merit scores did not produce similar findings. Some of our highest achievers allocated effort to as many as five or six categories. Conversely, some of our lowest-rated faculty allocated their time among only three or four areas of effort. In short, we have found no correlation between how time is allocated among effort categories and a faculty member's merit score.

Increased research productivity. At the University of Hawaii at Manoa, the implementation of a post-tenure review system resulted in an increase in their faculty's research productivity: the number of research and training grant proposals submitted by Manoa faculty "rose some 5.7 percent as compared with a nearly level plateau in such applications in the preceding two academic years,"^{20,p.417} even though salary was not tied to goal achievement.^{20,21} In our department, we have enjoyed similar increases in our faculty's research productivity. For example, over the last three years our numbers of grants, articles, chapters, and presentations have increased, even while the research productivity in other clinical departments in our medical school has declined. Also, according to the university's grant-tracking system, our department's "hit rate" (proportion of funded to submitted applications) has remained above that of the medical school as a whole (e.g., 1997: 83.3% versus 61.7%; 1998: 88.9% versus 82.0%). The MRS is likely to have contributed to these favorable outcomes, although an accurate measure of its impact is difficult to assess, since its implementation coincided with the launch of other new or enhanced research-facilitating efforts in our department.

Voluntary leaving. Goodman reports that the implementation of a post-tenure review process prompted the retirement of some senior faculty.²⁰ Although urging retirement of our faculty was not one of our objectives, we noted that those few of our senior faculty who received low ratings from their peers chose to retire before undergoing another year's review. Of course, this may be a coincidental finding, as these faculty might have chosen to retire at that time regardless of their merit scores. Or, these low scores may just reflect a "slowdown" in the year prior to retirement.

FACULTY EVALUATION SYSTEM DESIGN: GUIDANCE FROM THE LITERATURE

As noted earlier, our faculty evaluation system was developed by drawing on our extensive review of the literature

on the evaluation of medical school faculty. As we have implemented and revised our evaluation system, the literature on this subject has grown, enriched by reviews, empirical studies, and practical guides from professionals in faculty evaluation. In the sidebar entitled “Key Elements of Faculty Evaluation System Design from the Literature” we discuss how the design of our evaluation system was influenced by the literature published at that time, and also how our experience with our system relates to the more recently published work on faculty evaluation.

There is considerable excellent literature in faculty evaluation.^{22–26} Although we drew from the expertise of many authors when designing our system, we highlight here two works that we found to be especially cogent to our process. We focus on Arreola²⁷ and Green, Ellis, Fremont, and Batty,²⁸ whose work captures well the lessons from across the literature.

Raoul Arreola, director of educational evaluation and development at the University of Tennessee Health Science Center, outlines four key elements for the design of a faculty evaluation system.²⁷ Specifically, he advocates establishing a good fit between the system and the environment, securing strong faculty involvement, and providing not only feedback on faculty members’ performances but also development opportunities to improve their future performances. Our experience with our merit review process affirms the importance of these principles.

Green, Ellis, Fremont, and Batty²⁸ concur with Arreola²⁷ that faculty evaluation should correlate with faculty development programs; they also provide four additional recommendations regarding the type and reliability of evaluative information, the need to identify and address faculty concerns, and the value of including and differentiating both formative and summative components in the system.²⁷ Again, many of these suggestions “rang true” in our experience.

FACULTY EVALUATION SYSTEM DESIGN: LESSONS LEARNED

In addition to the eight design elements outlined by Arreola²⁷ and Green et al.,²⁸ we found seven additional features to be critical to the development of a successful faculty evaluation system (see the second sidebar, entitled “Key Elements of Faculty Evaluation System Design from Our Experience”). This list of features resulted from lessons learned through our experience in designing and implementing our merit review system. We offer them as additions to the growing knowledge base on faculty evaluation.

FUTURE DIRECTIONS

Thus far, we have reported on a process for developing a faculty merit-review system and described the specifics of the

system itself. We have highlighted how our experience fits with that of others and shared our insights on the factors that have contributed to our success. We conclude by sharing our anticipated next steps, which we have categorized into three areas: distribution of rewards, goal setting, and “merit” versus “worth.” The questions and challenges we face in these areas are not unique to our institution, but rather are an important part of the ongoing discussion about faculty evaluation systems in higher education.

Distribution of Rewards

Recall that our faculty evaluation system is a merit-pay system. The concept of merit pay remains controversial within the academy, as questions arise about the suitability of money as a motivational tool.²⁹ Even if merit pay is considered an appropriate incentive for faculty performance, it remains to be seen whether sufficient funds will be available in today’s tightly constrained higher education budgets to support merit-driven salary increases. Indeed, in recent years, our department has not had substantial funds to allocate as rewards, nor is there a guarantee that such funds will be available consistently in the future. This is a common difficulty for higher education institutions that are implementing merit-pay systems.⁸ Importantly, research on merit pay indicates that raises need to be substantial if they are to evoke a desired positive reaction and motivate performance. Raises that are minuscule may be disappointing, rather than encouraging or congratulating.⁹ We found this to be true after our last cycle of merit review, as there was little money to distribute as raises. A number of our faculty were disgruntled by this, and turned some of their dissatisfaction toward the evaluation system itself.

Up to now, we have chosen a combination approach in our reward system, utilizing end-of-year raises or bonuses, as well as travel funds for conference attendance, departmental awards, and commendation in department publications as ways of recognizing high productivity and accomplishment. Another non-monetary reward in our system comes from the validation and appreciation faculty receive from their peers who review their performances. Anecdotal reports indicate that this peer recognition is highly valued by our faculty. This is not surprising, given studies of faculty productivity, especially research productivity, which find that recognition of all types (by peers, by supervisors, and by public audiences) is the most valued reward.³⁰

We are investigating additional non-monetary methods of rewarding high merit-review ratings. Ideas for incentives include funds for training or equipment, time off, and personal letters of commendation from the department head (see Foldesi).³¹ Discussions with our faculty are in progress to determine which combination of reward types will best moti-

Key Elements of Faculty Evaluation System Design from the Literature

From Arreola²⁷

1. The evaluation system reflects the values and priorities of the institution.

We concur with Arreola that any faculty evaluation system must reflect the mission of the educational institution.²⁷ Thus, we designed our merit review system (MRS) with university, medical school, and departmental goals in mind. The University of Minnesota is a Carnegie category I research university and a land grant institution. As such it has the multiple missions of conducting significant research, providing high-quality education, and serving its constituents through meaningful outreach. Our system allows faculty to define how they contribute to meeting any or all of these missions and evaluates them on only the ones they select. In addition, the Report of Contributions and Next Year's Goals Form, which all faculty members complete annually in cooperation with their program directors, is a springboard for discussions about how individual faculty members' goals support program and departmental goals.

2. Faculty are integrally involved in the design and construction of the evaluation system.

In keeping with this recommendation, a faculty committee (the merit review committee) designed the original system, plays a key role in the actual evaluation process, and also carries the process forward by incorporating refinements and modifications. Our system was approved by the faculty as a whole, and changes in the system must also come before the faculty for a vote. As Arreola indicates, involvement of the faculty lowers their resistance to the implementation of a new vehicle of performance evaluation.²⁷ William Cashin of the Center for Faculty Evaluation and Development at Kansas State University also addresses this issue, suggesting that the process of change "is not just a cognitive one, changing ideas; it is a normative—re-educative one, changing values and attitudes. For a system to be effective—to really change faculty behavior—it needs to be accepted by the faculty. It must be owned by them."³⁴

3. The system provides feedback for faculty members' growth and development, as well as information for personnel decisions.

4. Evaluation is linked with faculty development opportunities, so that resources are available to enhance faculty members' strengths and overcome detected weaknesses.

Reflecting the intent of items 3 and 4, our department has concurrently provided faculty development opportunities along with the merit review process. The specific initiatives

and resources we offer were selected in response to a needs assessment we conducted to identify development opportunities that would best serve our faculty.³⁵ One opportunity is geared to help new residency directors build their administrative skills through participation in a national workshop. The directors can also continually update their skills by attending an annual session on residency administration offered by the American Academy of Family Practice. To build teaching and research skills, our department offers courses with an emphasis on curriculum design and teaching, the conduct of research, and academic writing. To further promote research skills and accomplishments among our faculty, the department has established a strong team of research support staff, which includes a statistician, an editor, a librarian, research assistants, computer support, data-entry support, and secretarial support—all available to work one-on-one with faculty. Moreover, faculty can receive individualized coaching and support in developing proposals for national fellowships to increase their research productivity and skills. (Since 1998, four national fellowships have been acquired.) The department has also offered a two-year, 50% time-release program to allow faculty adequate blocks of time to acquire research training or establish a research program. Three of our faculty have participated in this opportunity.

This is not to say, however, that all of our faculty members' developmental needs are met. We have yet to address our faculty's call for training in time management, to increase staff to support research efforts, and to create a clinician—teacher appointment type for faculty who do not do research. (The last item will need to be addressed at the medical school and university level.)

From Green, Ellis, Fremont, and Batty²⁸

5. Evaluative information comes from a variety of sources.

In keeping with item 5, we have compiled a long list of suggested types of validating or supportive documents that our faculty may include in their portfolios as evidence of desired outcomes. We also designed instruments to allow us to acquire 360-degree feedback on faculty members' performances (as applicable), soliciting feedback from students, colleagues, supervisors, administrative or support staff, patients, and other members of the community.

6. Evaluative information is reliable.

We continue to refine and improve our merit review system's level of reliability. For example, teaching evaluations are gathered through required university procedures to protect the anonymity of students. Similarly, the colleague consensus scores

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for citizenship and administrative leadership are reported in aggregate so that raters (with the exception of supervisors) may remain anonymous. The ratings by one's supervisor are also reported separately so as to be distinguishable from the others, but feedback from all raters is weighted equally. Although we allow faculty to choose their own teams of evaluators for these two areas of effort, the teams must be approved by individuals' supervisors, who may add members to any individual's team. In the upcoming year, supervisors will be encouraged to review team composition even more carefully than they have in the past to make sure that each team is comprised of individuals appropriate to meet the 360-degree feedback objective. So far we have not included self-assessment, which Green and colleagues report "has not been shown to be reliable or accurate" (p. 602). Future potential use of self-ratings is discussed further under "The System is Allowed to Evolve" in the second sidebar.

Our merit ratings are also seen as reliable. First of all, the MRC members decide on their ratings and comments for each individual by consensus agreement, rather than by majority vote. Bringing six people into agreement on each faculty member's scores serves to reduce any personal bias. Also, no "insider" information, that is, information about or impressions of a faculty member's work known to an MRC member personally but not contained in the faculty member's portfolio, is allowed. This rule is to make sure that those faculty members who are close friends or colleagues of MRC members are not advantaged over others because of their personal acquaintance. A further testament to the strength and reliability of consensus decision making is that so far, the department head has not changed any merit scores as determined by the MRC, despite his authority to do so. Also, in the two years of the system's full operation, only one faculty member challenged his scores through the appeal process, and in the re-review of his portfolio the merit ratings were upheld as previously awarded.

We have experienced some measure of faculty disagreement about the reliability of centrally collected data and reported tallies of faculty members' time spent in patient care, precepting, rounding, "on call," and the like. In anticipation of

the next evaluation cycle, the program directors, who receive periodic reports of these figures, have agreed to monitor the accuracy of these reports more closely and to iron out any perceived discrepancies as they arise.

7. Key concerns of faculty and administrators are identified and addressed.

Because our faculty and administrators have been so integrally involved in the design, implementation, evaluation, and ongoing refinement of the system, their concerns are certainly being identified and addressed, as suggested in item 7. As stated earlier, the system has been approved by the faculty, and any changes in the system must likewise go before the faculty for a vote before they are acted on.

8. Both formative and summative components of evaluations are developed and those components are differentiated.

Only for item 8 do we differ somewhat with the authors' recommendations. We do separate the summative function of promotion and tenure decisions for our tenure- or clinical scholar-track faculty. One reason for keeping the merit review and promotion and tenure review mechanisms separate is that our university's tenure code requires certain features to be included in promotion and tenure review that differ from our faculty's preferences for merit review. Also, not all of our faculty hold tenure or clinical scholar appointments, and therefore not all are subject to the tenure code requirements.

The MRS does serve other summative functions, however (rewarding exemplary behavior through the allocation of financial compensation and travel funds), and also formative functions (providing feedback for improvement). As Green et al. point out, the appropriateness of combining the two types of evaluations has been strongly debated for the past 30 years.²⁸ In the 1970s, models of faculty evaluation tended to separate the two, though more recently, support for combining them has surfaced. For example, Arreola and Aleamoni argue that "any faculty evaluation system must ultimately serve both a formative and a summative purpose."^{26,p.37} We have chosen to take a middle road approach to this issue.

vate and satisfy our faculty. We may also need to reconsider our approach to financially rewarding all of our "solid citizens" and look to a more narrow allocation of our limited available funds. Ultimately, the full participation of faculty in the merit review process is enhanced when the potential rewards for meritorious achievement are worth the effort of preparing one's portfolio to substantiate one's productivity.

Faculty Goal Setting

Another part of our review process that continues to be discussed and refined is the use of goal-setting as a productivity-

enhancing or skill-building tool. While the accomplishment or non-accomplishment of stated goals does not factor into one's merit score, we do utilize goal setting as a faculty development tool, as research suggests that it enhances productivity outcomes. For example, in a study of the post-tenure review process of the University of Hawaii at Manoa, Madeline Goodman found that faculty members with professional development plans who set appropriate goals with reasonable expectations and with flexible outcomes were most successful in improving performance deficiencies.²¹ The conclusion of administrators at Manoa was that detailed sharing of plan formulation between a faculty member, the

Key Elements of Faculty Evaluation System Design from Our Experience

1. Department leadership is stable and effective.

As with any innovation, effective leadership in planning and implementation is key. Our department head initiated our process and stayed the course from the time the new system was just a blossoming idea, through the rocky stage of initial faculty resistance to change, and on through multiple revisions. He values the system, making it meaningful within the department by utilizing the information the merit-review system (MRS) generates for important departmental decisions. Given the turnover in merit-review committee (MRC) membership, his consistent support and guidance have contributed greatly to the system's success. Most recently, given our realization that the program directors need to be even more involved in setting goals for their respective programs and their faculty, the department head called an executive meeting to endorse the process and to urge the active involvement of supervisory staff.

2. The system has dedicated and continuous leadership.

In addition to the department head, the chair of the MRC has provided consistent direction to this process. As an active researcher in faculty issues, she has brought relevant information and research to bear on the development and refining of our system. Having found consistent project leadership to be a key to our success, we delineated the role of MRC chair to be an ongoing function, separate from the role of an MRC peer evaluator, which has term limits. The chair is appointed by the department head to administer the system and train new faculty members in their role as peer evaluators. The chair may also be elected or appointed to serve as a peer evaluator on the MRC, but this is not necessarily the case.

3. The system is supported by the faculty.

Supportive faculty who are dedicated to the success of the effort are also essential. The MRC has been staffed by faculty members who feel the weight of their charge, taking their role as peer evaluators very seriously. Committee members are so conscientious in their approach that they sometimes agonize over discerning the appropriate score for a colleague in a single performance area. In addition to evaluating their peers, MRC members also represent and articulate the concerns of the faculty, offering suggestions for modification of the MRS when necessary. Although the MRC has experienced turnover, that has been largely due to the commitment of time and energy that committee membership demands, not disenchantment with or non-support of the evaluation process.

Also in regard to faculty support, the entire faculty dealt seriously, vigorously, and constructively with the development of the evaluation system, even when there was strong disagreement about particular evaluation proposals.

4. The system is managed by well-chosen staff.

In our previous evaluation system, the responsibility for faculty evaluation rested solely on the shoulders of the department head. The system was generally recognized as inadequate and arbitrary. The current department head was so dissatisfied with that system (as were the faculty) that the department was willing to invest considerable funds to develop a new system. To do the necessary background research on faculty evaluation systems, prepare proposals, coordinate faculty involvement, conduct thorough evaluations, and oversee the implementation and "tweaking" of the system as it continues to function, able personnel were required. The tasks were too great to be effectively handled by a faculty committee alone. To handle these functions, we created a new position—research associate—whose primary responsibility (about 60% time) has been to work closely with the MRC, and especially with the MRC chair, in planning, implementing, evaluating, revising, and administering the system. The first individual holding this position had a strong background in measurement and evaluation as an educational psychologist. The current research associate is a scholar in higher education policy and administration. Both of these individuals had previous experience as university instructors, which has enabled them to "tune in" to faculty concerns.

5. System advocates are willing to "hold the course" through the inevitable initial resistance that accompanies the implementation of change within an organization.

While we all intellectually value evaluation, few people are quick to embrace a new way of being personally evaluated. And faculty, in particular, are experts at criticizing proposals. So, it was not surprising that not all initial communications and feedback from our faculty about proposed evaluation approaches were positive and reaffirming. Because dissent was expected, faculty meetings were held to allow faculty to air their objections and concerns. We knew dissenting views needed to be fully heard, acknowledged for their contributions to the ongoing discussion, and responded to with feedback. Many of the objections were very useful in identifying stumbling blocks in a plan and providing creative alternatives. We agree with Bland, Starnaman, and Wersal, who, when talking about curricular change, said:

Listening to dissenters not only benefits the plan, but also invites the participation of plan opponents and deepens their commitment to the change process. As their ideas are heard and incorporated into the plan, dissenters become "planners." They then have a greater stake in the outcome of the change process.

Continued on next page

Another benefit evolves from allowing dissenters to air their views. Sometimes in the voicing of one's concerns, one sees that one's fears are ungrounded. Then the dissenter quickly "loses steam." Alternatively, the dissenter may find no support for his or her position among other participants. Again, that individual, finding no audience, may quiet himself or herself.^{37,p.585}

The lesson here is that dissent and resistance should be regarded as a likely, perhaps even inevitable, stage in developing a faculty evaluation system. If aired appropriately, however, dissent can contribute to the quality and acceptance of the final product. In the end, we found that some of our faculty who initially were vigorous opponents now champion the system.

Still, there is a time to end the discussing and debating of a plan. Significant progress occurred when, after many discussions and revisions, we moved to a pilot. Finally getting a chance to try out the new evaluation system quelled the speculation about how hard it would be, how long it would take, or how users would receive this new type of information.

6. The system is tailored to the department's specific needs and culture.

A faculty evaluation system needs to be context-specific. The MRS has been modified several times to better serve the particular needs of our department and our faculty. As noted above, our department was strongly motivated to create a new system, and we were willing to invest the necessary time and resources to create the MRS. Additionally, the University of Minnesota has a strong faculty governance system, and our faculty are therefore accustomed to taking responsibility and serving on committees having to do with personnel matters that affect them. Our faculty are not unionized, and salary matters are not decided through union bargaining; thus, our faculty are charged with taking ownership of their professional evaluative process. Finally, as (principally) physicians, our faculty are familiar with the practice of employing quality-assurance indicators and rigorous evaluative measures to assure high-quality patient care. The development of quality indi-

cators for their own professional performances as faculty was in keeping with that mind set.

7. The system is allowed to evolve.

Finally, in keeping with the saying, "Life is a journey, not a destination," we have experienced our process as ever-evolving, certainly not static. Planners of faculty evaluation systems must be comfortable with allowing changes to unfold, and with letting new insights provide guidance and inspiration. For example, two of the refinements faculty requested in the 1998 survey evaluation of the MRS were including self-reports and being able to add unique items in the colleague consensus instruments on citizenship and leadership. Self-assessment scores have been criticized for being unreliable, inflated due to self-serving bias (many people tend to have a higher opinion of themselves than do others), inflated due to blind spots (lacking insight or knowledge, people tend to guess high), and adverse to women and nonwhites (members of nearly every minority group tend to self-assess themselves lower than do the majority).¹⁸ Edwards and Ewen further state that "research also demonstrates that some people are legends in their own minds. In a 360° feedback project that creates four levels of performance—low, medium, high, and very high—typically the lowest-performing group includes employees with the highest self-assessments."^{18,p.38}

These faults notwithstanding, self-report does provide a useful picture of how well one's perception matches that of others. Even large disagreement between self- and peer-assessment can yield extremely useful information. In fact, in our first year of implementation, one faculty member kept asking for reviews from different faculty only to find they all had the same perception of his performance, which varied greatly from his own. Because of the usefulness of comparing self perception with others' ratings, and because our faculty requested this feature, we are exploring including self-assessment as part of our system.

We are also exploring how to include unique items in the colleague consensus surveys. We have not yet added this refinement, because it would require a significant upgrade of our current Web-based application.

chair, and the dean is "crucial" to the success of a professional development plan.^{21,p.91}

With this in mind, our review process calls for each faculty member to set goals for the coming year through consultation with his or her program director and the department head. While it has always been the intended design of the MRS that the program directors would be closely involved with the faculty as faculty design their goals for the coming year, in some cases faculty have submitted goal statements that are unsigned by their program directors, and in some cases program directors have simply "rubber stamped" faculty

members' goals, with little or no discussion. In the coming year, all of the program directors have committed not only to help our faculty to create ambitious yet feasible professional development plans but also to concretely coordinate the goals of the individual, the program, and the department, a topic that is the focus of the next section.

"Merit" Versus "Worth"

Recall that the second purpose of our MRS was to coordinate individuals' professional responsibilities to meet indi-

vidual and departmental goals. After our most recent cycle of reviews, the Merit Review Committee was concerned that the system was not achieving this purpose. The question remained as to whether the achievements of individual faculty members collectively accomplished the needs and goals of the department. Even if faculty members' work is uniformly meritorious, are departmental and program goals being met? Does our current "merit" system contribute to coordinating the work of faculty and to the accomplishment of program and departmental goals? How do we simultaneously support faculty in achieving their individual goals and collectively achieving the program's goals?

These questions are particularly relevant as our school and department implements more of a mission-based budgeting system for each program. Goal matching is even more critical in such systems, where institution leaders reward mission-critical contributors and fund strategic priorities. Faculty activity in defined mission categories is measured by collecting and tracking information about the costs and effort expended in each of these categories, and the resulting outcomes and contributions serve to "clarify the school's priorities, standards of accountability, and expectations for overall performance."³²

In examining the relationship between faculty goals and institutional goals, we again searched the literature and talked to others in higher education. We found especially helpful our discussions with Jon Wergin, PhD, a prominent researcher in organizational motivation in higher-education settings.³³ In the course of several conversations, he provided us with insightful comments that highlight a shift in emphasis from the concept of "merit," which is determined by how well one does one's work, to that of "worth," which is determined by how important one's work is to the organization. Specifically, he notes that "the traditional faculty culture, which values individual entrepreneurship and merit, is insufficient in our current times of increased expectations, fewer funds, and turbulent external environments." He continues:

A faculty member may be doing outstanding work, but in fact be costing rather than contributing to the unit or department's stated goals. You can have ten faculty doing meritorious work without it collectively adding up to achieving the goals of the unit or department. In this case, the unit would really have no mission, except to provide a place for faculty to do their work.

What is needed is a different way of looking at faculty work both individually and collectively. Do not begin by stating an abstract mission or goals, but rather begin by examining the work that people do. Faculty need to be able to talk about what they care about, how they believe they relate as a unit, and how each person adds value to the unit. These conversations are very different from ones that begin by talking

about an abstract mission. People's work adds up to what the institution does, not vice versa.

You might wonder, what if this collective "mission" is significantly different than the stated mission or the mission of the host institution? If this is the case, not revealing this doesn't make this problem go away. Revealing this allows you to directly address this mismatch, which has probably been the source of unresolved conflict.

Wergin's advice is to take what is learned from these discussions about people's work to "consider collectively what these individual goals and values mean for the common good." In doing so, faculty can then discuss and decide what their specific responsibilities are in meeting the unit's mission and what skills are missing or need to be added (by adding to current faculty members' abilities or else seeking these in new hires), as well as which faculty members' values and goals do not match those of the unit. In the upcoming year we plan to put Wergin's recommendations into action, thereby achieving the final purpose of our merit review system: coordinating faculty work with program and departmental goals.

CONCLUSION

Developing a credible faculty evaluation system requires an investment. In our case, it took two years of research, planning, pilot testing, and evaluating of the system through surveys and focus groups before the system was implemented department-wide. Ongoing modifications continue. This level of investment may not be necessary or appropriate for all departments. In our case, we believe the important outcomes outweigh the costs. The MRS successfully serves the first and third of our intended purposes: (1) to provide feedback to faculty members so as to continuously improve their career success, work quality, and productivity, and (3) to provide a basis for salary and personnel decisions. Importantly, it does this in a manner faculty find fair and that the department head finds useful. Further, it meets our university's requirements for annual reviews, for annual reviews that can trigger post-tenure reviews, and for a faculty-approved merit-based salary system. Finally, it provides aggregate information about faculty productivity and time allocation that is important for management, particularly mission-based management. In these times of financial constraint, one cannot effectively manage without good information about faculty productivity.

Other outcomes that appear to have resulted at least partially from our system include increased clarity of the individual's roles in goal setting and evaluation, increased research productivity, the voluntary departure of less productive faculty, and a greater variety of rewards. We have also

learned that spreading out one's efforts does not result in lower merit scores, and that we need to further investigate whether high merit equals high worth. We believe our success so far is due to the lessons gleaned from the literature and through our own experience, all of which have been delineated and discussed above. In the next year, we will continue the development of the system with the aim to succeed in addressing its second purpose: coordinating individuals' professional responsibilities to meet individual and departmental goals.

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